

That is an astonishing data point: Nearly a third of investors who panic sell ***never buy equities again***—ever! The rest of the panic-sellers repurchase equities at higher—often MUCH higher—prices than they sold for. These buys tend to be later in the recovery once the news flow improves—markets bottom when the headlines are horrific, leading to this emotional capitulation.

This is very consistent with my experience following the GFC. I cannot count how many times I was told: “I followed you out of the market in 2008, but when you flipped bullish in March 2009 I thought you were crazy.” I was getting those emails in 2010, 2011, and 2012; the big surprise was after we launched RWM in 2013, they continued, even into 2014 and, shockingly, 2015.

Panic-selling is easy, getting back in at the lows is hard, not ever getting back in is ruinous.

“Don’t Panic” is the best advice you can get when you are calm and contemplative; it is applicable in every situation you will be familiar with, whether its Vogons about to demolish your planet or the S&P futures market set to open lock limit down.

In markets, panic does not make anything better and often makes things worse—and occasionally much worse.



Coming up, we consider emotional decisions based on politics. As you might surmise, this does not mix well with investing.

[309](#) We are in the top 10, somewhere behind fungus, bacteria, mosquitoes, crabs, and viruses.

[310](#) From a planet in the Betelgeuse star system.

[311](#) There is a longer conversation to be had about the tax consequences in nonqualified accounts. The simple math is that you have to overcome the big hurdle of long-term capital gains at 23.8% (20% plus 3.8% Affordable Care Act’s Net Investment Income Tax) just to break even...

[312](#) Daniel Elkind, Kathryn Kaminski, Andrew W. Lo, Kien Wei Siah, and Chi Heem Wong, “When Do Investors Freak Out? Machine Learning Predictions of Panic Selling,” *The Journal of Financial Data Science* 4(1) (Winter 2022).